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CASE #	CASE NAME	HEARING NAME
CVMV2510529	CRUMP vs BANK OF AMERICA, N.A.	MOTION FOR INTERPLEADER AND DISCHARGE PURSUANT TO CODE OF CIVIL PROCEDURE SECTION 386.5

Tentative Ruling: No tentative ruling; appearances requested, either in person or telephonically.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2406558	HOSSENI vs PHILLIP PFEIFER.	MOTION TO BE RELIEVED AS COUNSEL FOR FIRST QUALITY BUILDS, LLC

Tentative Ruling: No tentative ruling; appearances requested, either in person or telephonically.

3.

CASE #	CASE NAME	HEARING NAME
CVRI2406558	HOSSENI vs PHILLIP PFEIFER.	DEMURRER TO SECOND AMENDED COMPLAINT

Tentative Ruling:

The Court OVERRULES the special demurrers. The Court SUSTAINS the general demurrer to the 2nd cause of action with 30 days leave to amend. The Court SUSTAINS the general demurrer to the 6th causes of action without leave to amend.

Factual / Procedural Context:

Plaintiffs Seyed Farshid Hosseini and First Quality Builds, LLC allege that Hosseini and his wife moved from Washington to California based on a pre-approval mortgage that was supposed to be in his name; however, the loan ended up being in his company's name, First Quality Builds. He alleges Defendants treated him as the true borrower, including issuing him an IRS Form 1098 mortgage interest statement to him personally. Plaintiff fell into financial hardship in 2023, and applied to the California Mortgage Relief program, yet Defendants continued the foreclosure process resulting in a nonjudicial foreclosure sale on 10/24/24. The Second Amended Complaint asserts causes of action for: (1) wrongful foreclosure; (2) violation of Homeowner Bill of Rights; (3) unfair competition; (4) breach of the covenant of good faith and fair dealing; (5) quiet title; and (6) declaratory relief.

Defendant Pfeifer appears to demur to the SAC on the grounds that it is uncertain, a defect of parties, plaintiffs lack capacity, and failure to state facts sufficient. There is no memorandum of points of authorities, or declaration demonstrating compliance with the meet and confer process.

In opposition, Plaintiffs assert that there is non-compliance of the notice period, as Defendant served the demurrer on 6/30/26 via email; service should have been made by 6/16/26 for email service. Plaintiffs also assert that they did not receive the full motion—only the notice.

In reply, Defendant submits a declaration indicating he served the motion on 6/3/26 via mail, and therefore, the demurrer should be sustained as there is no opposition.

The Court then continued the matter, ordered Defendant to resubmit and refile the demurrer, so that Plaintiffs could file an opposition on the merits.

In its amended demurrer, Defendant demurs to the 1st and 2nd causes of action on the grounds that they fail to state facts sufficient, and to the 3rd-6th causes of action on the grounds that they fail to state sufficient facts and are uncertain. Defendant then argues that there is a misjoinder as Tabatabai and Pan American Mortgage are not named as defendants. It argues that Plaintiff lacks legal capacity as it is not a borrower; only a natural person may be a borrower under Civil Code section 2920.5(c). It contends that the request for judicial notice demonstrates compliance with the statutory notices. It argues that the SAC is fatally uncertain because dual tracking is not explained.

In opposition, Plaintiffs contend the recorded documents do not establish the truth of the factual assertions, and that Civil Code section 2924(c) is a rebuttable presumption, with a conclusive presumption to the bona fide purchaser. They argue that there is no notice to support a wrongful foreclosure claim and that tender is not required because it is a void transaction. They argue capacity misstates the law. They argue the HBOR pleads facts placing Plaintiff within the statute as he was treated as the borrower. They assert the mortgage broker is not a necessary party as complete relief can be achieved without the broker. They contend that the SAC is not uncertain. They argue that the remaining causes of action are sufficient. Alternatively, they request leave to amend.

In reply, Defendant repeats that only a borrower has standing to assert HBOR. He repeats that the pleading is uncertain.

Analysis

A. Meet & Confer

Code of Civil Procedure sections 430.41 and 435.5 requires a meet and confer process via **phone, videoconferencing, or in person** before filing a demurrer or motion to strike. The meet and confer process requires the moving party to identify the causes of action or allegations subject to attack and the plaintiff must provide legal support for its position. (*Id.* at §§ 430.41(a)(1), 435.5(a)(1).) The demurring party must file a declaration stating the means by which the parties met and conferred, or the responding party failed to respond or meet and confer in good faith. (*Id.* at §§ 430.41(a)(3), 435.5(a)(3).) Defendant complied. (Weeks Decl. ¶12.)

B. Request for Judicial Notice

Defendant requests judicial notice of the notice of default, notice of trustee's sale, and trustee's deed upon sale. In *Fontenot v. Wells Fargo Bank, N.A.* (2011) 198 Cal.App.4th 256, 265 (overturned on other grounds in *Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919, 939 n. 13), the court could "take judicial notice of the of the fact of a document's recordation, the date the document was recorded and executed, the parties to the transaction reflected in a recorded document, and the document's legally operative language, assuming there is no genuine dispute regarding the document's authenticity." Here, Plaintiffs failed to plead facts or provide evidence contradicting these documents. The Court GRANTS the request for judicial notice.

C. Misjoinder

Under Code of Civil Procedure section 430.10(d), demurrers are appropriate where it appears that (1) there is a nonjoinder of a party, i.e. a necessary third party is not joined, or (2) there is a misjoinder of parties. A plaintiff must join as parties to the action any person whose interest is such that: (1) in that party's absences, complete relief cannot be accorded among those already parties to the action; or (2) any judgment rendered in that party's absence might either (a) prejudice his or her ability to protect his or her interest in later litigation; or (b) leave any of the parties before the court exposed to a risk of additional liability or inconsistent obligations. (*Id.* at §389(a).) Here, Plaintiffs have no causes of action that challenge the underlying transaction, i.e. the mortgage broker process. While they plead that they received the wrong mortgage, they plead no causes of action to reform the deed of trust or seek damages related to the wrong mortgage. As such, there is no misjoinder based on these facts. The Court OVERRULES the special demurrer.

D. Capacity

Code of Civil Procedure section 430.10(b) states: "The person who filed the pleading does not have the legal capacity to sue." Legal capacity refers to a party being a minor, deceased or lacking decision making capacity. (2B Weil & Brown (The Rutter

Group 2026) *California Practice Guide: Civil Procedure Before Trial* § 7:70.) “[T]he lack of capacity to sue is simply a legal disability that ‘ “ ‘deprives a party of the right to come into court.’ ” ’ ” (*Rubinstein v. Fakheri* (2020) 49 Cal.App.5th 797, 806.) Here, there are no facts establishing that Plaintiffs lack legal capacity. The Court **OVERRULES** the special demurrer.

E. Uncertainty

Demurrers for uncertainty will only be sustained where the defendant cannot reasonably determine what issues must be admitted or denied, or what claims are directed against him. (*Khoury v. Maly's of California, Inc.* (1993) 14 Cal.App.4th 612, 616.) Demurrers for uncertainty are to be overruled when addressed to inconsequential matters, the facts are within the knowledge of the defendant or ascertainable in discovery, or not dispositive of one or more causes of action. (*Id.*) Here, the complaint is not so uncertain such that Defendant does not understand the claims. The Court **OVERRULES** the special demurrer.

F. Failure to State Facts Sufficient

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (Code Civ. Proc., § 430.10(e).) A demurrer tests the legal sufficiency of the pleading, but not the truthfulness of the allegations. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Id.*)

1. Wrongful Foreclosure

“Civil Code sections 2924 through 2924k4 ‘provide a comprehensive framework for the regulation of a nonjudicial foreclosure sale pursuant to a power of sale contained in a deed of trust.’” (*Lona v. Citibank, N.A.* (2011) 202 Cal.App.4th 89, 101.) “The statutory scheme has three purposes: ‘ “(1) to provide the creditor/beneficiary with a quick, inexpensive and efficient remedy against a defaulting debtor/trustor; (2) to protect the debtor/trustor from wrongful loss of the property; and (3) to ensure that a properly conducted sale is final between the parties and conclusive as to a bona fide purchaser.” ’ ” (*Id.* at 102.)

The elements for wrongful foreclosure are: (1) trustee caused an illegal, fraudulent or willfully oppressive sale of real property pursuant to a power of sale in a deed of trust; (2) the party attacking the sale was prejudiced or harmed; and (3) the trustor tendered the amount of the indebtedness or was excused from tendering. (*Miles v. Deutsche Bank National Trust Company* (2015) 236 Cal.App.4th 394, 408.) Technical violations are insufficient as “the foreclosure must have been entirely unauthorized on the facts of the case.” (*Id.* at 409.)

The complaint is based on the failure to provide notices. (SAC ¶27.) Defendant does not attack these allegations but contends that the judicial notice shows compliance—they only show recording of the documents—not that they were mailed. As such, Defendant fails to demonstrate a defect in the pleading. The Court **OVERRULES** the demurrer.

2. Violation of HBOR

Civil Code section 2920.5(c)(1) defines a borrower as “any natural person who is a mortgagor or trustor.” Plaintiffs admit that the loan was recorded in the name of his company, First Quality Builds, LLC. (SAC ¶11.) While Plaintiffs allege that Hossemi was treated as the borrower, the fact remains that the loan documents were in his company’s name. (SAC ¶13-14.) That is not sufficient to demonstrate that he is personally a borrower under the HBOR. The Court **SUSTAINS** the demurrer with leave to amend.

3. Unfair Competition

Business & Professions Code section 17200 prohibits any business act or practice that is unlawful, unfair, or fraudulent. A cause of action for violating this statute “borrows” actionable conduct and makes it independently actionable under the unfair competition law. (*Smith v. State Farm* (2001) 93 Cal.App.4th 700, 718.) To the extent that the claim is based on dual tracking or the original note structure, they are not based on the underlying claims. However, demurrers do not lie as to only parts of causes of action. (*Poizner v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119 (“A demurrer must dispose of an entire cause of action to be sustained.”)) Plaintiffs have also based this on the wrongful foreclosure claim. (SAC ¶36.) The Court **OVERRULES** the demurrer.

Breach of the Covenant of Good Faith & Fair Dealing

“The covenant of good faith and fair dealing, implied by law in every contract, exists merely to prevent one contracting party from unfairly frustrating the other party’s right to receive the benefits of the agreement actually made.” (*Guz v. Bechtel Nat. Inc.* (2000) 24 Cal.4th 317, 349.) “It cannot impose substantive duties or limits on the contracting parties beyond those incorporated in the specific terms of their agreement.” (*Id.* at 349-350.) As explained by one court:

The implied covenant of good faith and fair dealing rests upon the existence of some specific contractual obligation. [Citation.] “The covenant of good faith is read into contracts in order to protect the express covenants or promises of the contract, not to protect some general public policy interest not directly tied to the contract’s purpose.” [Citations.] As we stated in *Love v. Fire Ins. Exchange* (1990) 221 Cal.App.3d 1136 at page 1153: “In essence, the covenant is implied as a *supplement* to the express contractual covenants, to prevent a contracting party from engaging in

conduct which (while not technically transgressing the express covenants) frustrates the other party's rights to the benefits of the contract.”

(*Racine & Laramie, Ltd. v. Department of Parks & Recreation* (1992) 11 Cal.App.4th 1026, 1031–1032.) “If there exists a contractual relationship between the parties, as was the case here, the implied covenant is limited to assuring compliance with the express terms of the contract, and cannot be extended to create obligations not contemplated in the contract.” (*Id.* at 1032.) It involves something beyond a breach of a contractual obligation. (*Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.2d 1371, 1394.) But a breach of a specific provision of the contract is not necessary to the claim. (*Thrifty Payless, Inc. v. The Americana at Brand, LLC* (2013) 218 Cal.App.4th 1230, 1244.)

Here, Plaintiffs allege that Defendants refused reinstatement of the loan. (SAC ¶40.) That is sufficient for pleading purposes. The Court OVERRULES the demurrer.

4. Quiet Title

The elements of a quiet title action are (1) legal description and street address of the property; (2) plaintiff's title or interest and the basis; (3) defendant's asserting adverse claim or antagonistic property interest; (4) date as of which the determination is sought; and (5) prayer for determination of title. (Code Civ. Proc. § 761.020.) Quiet title is the process of determining any adverse claim asserted by a defendant regarding real property. (*Id.*; *Lechuza Villas West v. California Coastal Commission* (1997) 60 Cal.App.4th 218, 242.) The court is to determine, between the parties, all conflicting interest in the property and decree the interest. (*Lechuza*, supra, 60 Cal.App.4th at 242.)

Here, Plaintiffs allege the foreclosure was void. (SAC ¶44.) The Court OVERRULES the demurrer.

5. Declaratory Relief

In cases of actual controversy relating to the legal rights and duties of the respective parties in relation to a contract or property, a person may bring an action for declaration of his or her rights and duties. (Code Civ. Proc., §1060.) “A complaint for declaratory relief is legally sufficient if it sets forth facts showing the existence of an actual controversy relating to the legal rights and duties of the parties under a written instrument or with respect to property and requests that the rights and duties of the parties be adjudged by the court.” (*Wellenkamp v. Bank of America* (1978) 21 Cal.3d 943, 947.) “[D]eclaratory relief operates prospectively and there is no basis for declaratory relief where only past wrongs are involved.” (*Moore v. Wells Fargo Bank, N.A.* (2019) 39 Cal.App.5th 280, 295.) Accordingly, as this involves a past wrong there is no basis for declaratory relief. The Court SUSTAINS the demurrer without leave to amend.